

after HUL (₹47,028 crore) and before ITC (₹34,752 crore of FMCG business only, minus hotels and other non-FMCG businesses).

In the first nine months of FY22, AWL with ₹39,254 crore in revenues is ahead of even HUL (₹38,679 crore), creating a distinct possibility of a new market leader at the end of FY22 after decades of dominance by HUL. That said, their businesses are vastly different, even within the same industry. The bulk of AWL's revenue (84 per cent) comes from branded edible oil. HUL's business is dominated by soaps, branded tea, and personal care. And ITC's FMCG business is dominated by cigarettes (59 per cent of revenues), and in non-cigarettes, it is mostly into categories like branded commodities, packaged foods and personal care. Still, the birth of the AWL behemoth is a compelling story.

84 |

Secret recipe to success

Unlike most of its competitors, AWL's roots are deeply embedded in two of the largest businesses in their respective fields of expertise—Singapore-headquartered Wilmar International and Adani Group (post listing, both groups hold equal stakes of nearly 44 per cent each in AWL). Wilmar controls nearly 30 per cent of the world's edible oil business, with its tentacles spread across continents—giving it a unique leverage when it comes to price negotiations and allocation of raw materials. And Gautam Adani-led Adani Group owns India's largest private sea port operator—Adani Ports and Special Economic Zone (APSEZ). That plays an important role in ensuring seamless supply of raw materials at AWL's facilities across the country.

Which brings us back to AWL's core competence. The company currently owns and operates 18 refineries in India, out of which 10 are strategically located near sea ports, much like Hazira. According to Angshu Malik, CEO and MD of AWL,



“Since the edible oil business is a low margin one, whatever they [Adani Wilmar] save on logistics and such related costs, reflects in the bottom line. And as the scale of operations grow, it catapults into higher profits”

DEVEN CHOKSEY
MD, KRCHOKSEY
SHARES & SECURITIES



“Operating margin at 3-4 per cent is not unusual [for Adani Wilmar, given its high exposure to the edible oil business]”

DEEPAK JASANI
HEAD, RETAIL
RESEARCH, HDFC
SECURITIES

feeding the Hazira plant directly from shipping containers will cut down its cost of operations by ₹19-28 lakh each day. Unloading through a pipeline speeds up the rate of moving crude to 450 tonnes an hour from 250 tonnes an hour. Impact? Today, it takes over 2,000 oil tankers (third party) and nearly a week to shift all the crude edible oil from a large vessel to the Hazira facility. The pipeline would bring the time to barely three days and completely remove third party interventions. Further, it would allow the company to invite larger vessels—up to 50,000 tonnes capacity instead of 15,000 tonnes at the port—resulting in better operational efficiency. This would also remove any unnecessary hourly waiting charges that vessel operators charge.

“Today, when a large vessel comes, we take our share of oil at Hazira and then it heads for our Mundra facility. But once we are able to unload faster, we will unload the larger vessels completely at one port, which will further cut down costs,” says Malik. In the long run, as the pipeline replaces container trucks, the cost of supply would come down by 40-50 per cent, he says. With crude edible oil prices hovering around \$1,300-1,400 per tonne, broadly the pipelines help save AWL 1-1.5 per cent on its total input costs.

While the Hazira pipeline will become operational later this year, AWL has such infrastructure already in other plants, with the first such plant being built in 1999 in the Mundra port in Gujarat. Currently, it has seven such facilities directly connected with ports—two each at Haldia (West Bengal) and Krishnapatnam (Andhra Pradesh) and one each at Kakinada (Odisha) and Mangaluru (Karnataka), apart from Mundra. And there are three other port-based refineries, like in Paradeep (Odisha), that are yet to be linked.

Deven Choksey, MD of KRChoksey Shares & Securities, says it's an advantage for AWL that APSEZ is a